

have proved dead wrong. Around 1980 I thought we were going to run out of oil and gas, which the Iran-Iraq war seemed to confirm. (In surmising how Mideast nations would line up behind these adversaries, I noted that "Politics make strange Bedouin fellows.") A lot of people thought the same, and we were all wrong. I should have bailed out of the oil stocks instead of increasing my position right at the top. It created a bit of a disaster for a time.

In 1984, looking at industry's ever-growing reliance on information technology, I joked to an interviewer that IBM would continue to grow 12 to 15 percent a year until "it'll overtake everything; pretty soon the U.S. government will be known as IBM's North American division." The joke had a point. IBM proved once again that very high growth rates cannot last forever.

What Can We Say About the Future?

Trying to discern current or nascent trends with some staying power is not the same as crystal-balling the far-off future. The future is always full of surprises. Go back twenty-five years and nobody worried about smoking cigarettes. The idea of getting up early to go jogging would have seemed absurd. If it had been clear what was developing, medical school students could have switched from cardiology to sports medicine. But technology has not yet produced a time machine.

Occasionally, I am asked to give a talk before a group, and when it's a general audience rather than a herd of investment people, I know I am going to be asked, "Ralph, where do you think the market's headed?" (Investment professionals aren't likely to bother, knowing my guess is